IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY APPLICATION NO. (CAA) - 36(ND)/2025

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

M/s. AEROLINE PAPER PRODUCTS PRIVATE LIMITED

..... Applicant Company No.1/Transferor Company No. 1

AND

M/s. GENESIS PAPER ART PRIVATE LIMITED

..... Applicant Company No.2/Transferor Company No. 2

AND

M/s. SGM PAPER PRODUCTS PRIVATE LIMITED

..... Applicant Company No.3/Transferee Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Pronounced On: 02.06.2025

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

DR. SANJEEV RANJAN, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : CA Vijay Kumar Gupta

ORDER

PER: SANJEEV RANJAN, MEMBER (TECHNICAL)

1. This is a First Motion Application jointly filed by the Applicant Companies seeking approval of this Tribunal about the Scheme of Amalgamation under Sections 230 and 232 of the Companies Act, 2013 read with the Companies

(Compromise, Arrangements and Amalgamations) Rules, 2016 in respect of above Applicant Companies. It is represented that the registered office address of all the Applicant Companies is situated in New Delhi and therefore the subject matter of the said application falls within the jurisdiction of this Tribunal. The brief description of the Applicant Companies, as per the Master data is are as follows:

a) Applicant Company No. 1 namely M/s. Aeroline Paper Products Private Limited bearing CIN: U74110DL2008PTC184671 was incorporated on 05/11/2008 under the provisions of the Companies Act, 1956 as a Company limited by Shares (Non-govt. company) with the Registrar of Companies, NCT of Delhi & Haryana. The registered office of Applicant Company No. 1 is situated at F-80, Third Floor, Khanpur Village Khanpur extn., South Delhi-110062, India. The Authorized Share Capital of the Company is Rs.1,00,000/- divided into 10,000 equity shares of Rs. 10/- each and the issued, subscribed and paid-up share capital of the Company is Rs.1,00,000/- divided into 10,000 equity shares of Rs. 10/- each.

b) Applicant Company No. 2 namely M/s. Genesis Paper Art Private Limited bearing CIN: U74110DL2010PTC212016 was incorporated on 31/12/2010 under the provisions of the Companies Act, 1956 as a Company limited by Shares (Non-govt. company) with the Registrar of Companies, NCT of Delhi & Haryana. The registered office of Applicant Company No. 2 is situated at 125-A Sant Nagar, East Delhi, New Delhi-110065 The Authorized Share Capital of the Company is Rs.40,00,000/- and issued, subscribed and paid- up share capital of the Company is Rs. 39,37,110/-

c) Applicant Company No. 3 namely M/s. SGM Paper Products Private Limited bearing CIN: U21099DL2019PTC351057 was incorporated on 07/06/2019 under the provisions of the Companies Act, 2013 as a Company limited by Shares (Non-govt. company) with the Registrar of Companies, NCT of Delhi & Haryana. The registered office of the Transferee Company is situated at 34, Pocket-A, East of

Kailash, South Delhi, New Delhi-110065. The Authorized Share Capital of the Company is Rs. 15,00,000/- divided into 1,50,000 equity shares of Rs. 10/- each and issued, subscribed and paid- up share capital of the Company is Rs. 15,00,000/- divided into 1,50,000 equity shares of Rs. 10/- each.

2. The Affidavits in support of the present application have been sworn by Mr. Manish Sachdeva, Director and authorized representative of Applicant Company No. 1, by Mr. Suraj Prakash Sharma, Director and authorized representative of Applicant Company No. 2, and by Mr. Manish Sachdeva, Director and authorized representative of Applicant Company No. 3 who have been duly authorized vide board resolutions of all the Applicant Companies. All the Affidavits are filed along with the Application.
3. The Board of Directors of the Applicant No. 1/Transferor Company No. 1 as well as the Board of Directors of the ApplicantNo.2/Transferor Company No. 2 and the Board of Directors of the Applicant No.3/ Transferee Company in their separate meetings held on 30.01.2025 respectively have approved and adopted the Resolution to transfer and vest the Amalgamated Undertaking of the Applicant No. 1 Company/ Transferor Company No.1 and Applicant No. 2 Company/ Transferor Company No.2 into the Applicant No. 3/Transferee Company on a going concern basis in accordance with the terms of the Scheme of Amalgamation.
4. The Applicant Companies have filed its Memorandum and Articles of Association inter alia delineating their object clauses as well as the latest audited annual financial report for the financial year 2023-2024 and the copy of the unaudited/provisional financial statements of the Applicant companies as on 30.09.2024 as required under section 232(2)(e) of the Companies Act, 2013.
5. The Applicant Companies have filed the true copy of the proposed Scheme of Amalgamation and have outlined the benefit of the same, which are as follows:

"i) Pooling of resources and infrastructure of the entities to their common advantage, resulting in a more productive utilization of the resources, costs and operational efficiencies, faster and

effective decision making and its implementation, which would be beneficial for all stakeholders;

ii) Integrate, rationalize and streamline the management and administrative structure of the merged business and achieve cost saving.

iii) Avoid duplication of regulatory compliances and statutory filings with various government departments;

iv) Greater economies of scale, reduction in overheads and other expenses; and

v) Greater efficiency in cash management of the Transferee entity, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities, to maximize shareholder value.

vi) Facilitate inter transfer of resources and costs and optimum utilization of Assets.

vii) Synchronizing of efforts to achieve uniform corporate policy.

viii) To reflect the consolidated net worth of these companies in one balance sheet."

6. The Shares of the Transferor Companies and the Transferee Company have been evaluated for the purpose of determining the exchange ratio:

"Every Shareholder of Aeroline Paper Products Pvt. Ltd. holding 1000 equity shares of Rs.10 each fully paid up will get 1940270 equity shares of Rs.10 each fully paid up in SGM Paper Products Private Limited."

Every Shareholder of Genesis Paper Art Pvt Ltd holding 1000 equity shares of Rs.10 each fully paid up in will get 4933 equity shares of Rs.10 each fully paid up in SGM Paper Products Private Limited"

7. **ANALYSIS**

i. As far as the present application is concerned, it is apparent from the record that the Board of Directors of all the Applicant Companies vide their meetings held on 30.01.2025, have approved the proposed amalgamation scheme. Copies of Resolution of the Board of Directors of Applicant Companies are found on record at Annexure 11 to the application.

ii. The Appointed Date of the Scheme is 01.04.2024, as mentioned in the scheme.

iii. The Applicant Companies have filed their Memorandum and Articles of Association inter alia delineating their object clauses as well as the latest audited annual financial report for the financial year 2023-2024 and the copy of the unaudited/provisional financial statements of the Applicant companies as on 30.09.2024, so the requirement under section 232(2)(e) of the Companies Act, 2013 is complied with.

iv. In the present application separate disclosure affidavits as are also filed deposing that no investigation or proceeding under the Companies Act, 2013 or under the erstwhile Companies Act, 1956 is pending neither against the Transferor Companies nor Transferee Company involved in the present Scheme of Amalgamation, so required under section 230(2)(a) of the Companies Act 2013 has also been satisfied.

v. On perusal of the prayers to the present application it is clear that, primarily the Applicant Companies have sought the relief of dispensing with the meetings of various stakeholders of the Applicant Companies. In the present case, the Applicant Companies i.e. the Transferee Company as well as the Transferor Companies No. 1 and 2, have prayed for dispensing with the meeting of their Shareholders, secured as well as unsecured creditors.

vi. Sub-section (9) of Section 230 of the Companies Act 2013 provides that this Tribunal may dispense with calling of a meeting of creditor or class of creditors where such creditors or class of creditors, having at least

ninety percent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement. Sub-section (9) of Section 230 of the Companies Act 2013 is reproduced below:

"(9) The Tribunal may dispense with calling of a meeting of creditor or class of creditors where such creditors or class of creditors, having at least ninety percent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement."

vii. An examination of the Companies Act, 2013 reveals that, unlike Section 230(9), which allows this Tribunal to dispense with the meeting of creditors if more than 90% of the creditors or class of creditors in value have consented to the proposed scheme. However there is no analogous provision for dispensing with the meeting of shareholders. In this context it will be pertinent to refer to sub-section (6) to Section 230 of the Companies Act 2013 which reads as :

"(6) Where, at a meeting held in pursuance of sub-section (1), majority of persons representing three-fourths in value of the creditors, or class of creditors or members or class of members, as the case may be, voting in person or by proxy or by postal ballot, agree to any compromise or arrangement and if such compromise or arrangement is sanctioned by the Tribunal by an order, the same shall be binding on the company, all the creditors, or class of creditors or members or class of members, as the case may be, or, in case of a company being wound up, on the liquidator appointed under this act or under the Insolvency and Bankruptcy Code, 2016 (31 of 2016), as the case may be, and the contributories of the company."

At this juncture it would also be apt to reproduce sub-sections (1) and (2) of Section 391 of the Companies Act 1956, which read as hereunder:

"Section 391. Power to compromise or make arrangements with creditors and members.

(1) Where a compromise or arrangement is proposed-

(a) between a company and its creditors or any class of them; or

(b) between a company and its members or any class of them; the Court

may, on the application of the company or of any creditor or member of the company, or, in the case of a company, which is being wound up, of the liquidator, order a meeting of the creditors or class of creditors, or of the members or class of members, as the case may be, to be called, held and conducted in such manner as the Court directs.

(2) If a majority in number representing three- fourths in value of the creditors, or class of creditors, or members, or class of members as the case may be, present and voting either in person or, where proxies are allowed under the rules made under section 643, by proxy, at the meeting, agree to any compromise or arrangement, the compromise or arrangement shall, if sanctioned by the Court, be binding on all the creditors, all the creditors of the class, all the members, or all the members of the class, as the case may be, and also on the company, or, in the case of a company which is being wound up, on the liquidator and contributories of the company: Provided that no order sanctioning any compromise or arrangement shall be made by the Court unless the Court is satisfied that the company or any other person by whom an application has been made under sub-section (1) has disclosed to the Court, by affidavit or otherwise, all material facts relating to the company, such as the latest financial position of the company, the latest auditor's report on the accounts of the company, the pendency of any investigation proceedings in relation to the company under sections 235 to 251, and the like……"

In the case of **Adobe Properties Private Limited with AMP Motors Private Limited [CO. APPL.(M) No. 150/2016] Hon'ble Delhi High Court** dealt with the issue of power to dispense with the requirement of convening meetings, under section 391 of the Companies Act 1956. In the above mentioned judgement Hon'ble Delhi High at para 32 observed that:
"*Thus, the discretion so conferred upon the Court under the provision of section 391(1) can be summarized as follows:*
i. Upon taking a prima facie view, the Court may dismiss the application, proposing a scheme of compromise or arrangement between a company and its creditors or any class thereof; or between a company and its members or any class thereof, on various grounds; OR
ii. Direct convening of meetings of the members and/or creditors or any class thereof, of the company, to whom a scheme of compromise or arrangement is proposed, in order to enable such members and creditors to

consider and if thought fit, approve, with or without modification, such scheme; OR
iii. Dispense with the requirement of convening meetings of members and creditors or any class thereof, of the company proposing a scheme of compromise or arrangement."

viii. In the present application the Applicant companies have given the following details regarding the consent given by their respective stakeholders: -

	EQUITY SHAREHOLDERS AND PREFERENCE SHAREHOLDERS		
	Transferor Company No. 1	**Transferor Company No. 2**	**Transferee Company**
Total No. of Equity Shareholders	2 Equity Shs.	4 Equity Shs. 1 Preference Shs.	2 Equity Shs.
No. of Equity Shareholders, who is a Company / Firm / any association of person.	0	1 Equity Sh. 1 Preference Sh.	0
Details of Certificate of Auditor, certifying No. of Shareholders.	Date: 31.01.2025 Pg. No.	Date: 31.01.2025 Pg. No.	Date: 31.01.2025 Pg. No.
No. of Equity Shareholders who gave consent to the Scheme by way of Affidavit.	2 Equity Shs.	4 Equity Shs. 1 Preference Sh.	2 Equity Shs.
% of consent obtained from Equity Shareholders	100%	100%	100%
	SECURED CREDITORS		
Total No. of Secured Creditors	0	0	0
No. of Secured Creditors, who is a Company / Firm / any association of person/ Bank.	0	0	0

Total Secured Credit Value	0	0	0
Details of Certificate of Auditor, certifying No. of Secured Creditors and Total Secured Credit Value.	Date: Pg. No.:	Date: Pg. No.:	Date: Pg. No.:
No. of Secured Creditors who gave consent to the Scheme by way of Affidavit.	0	0	0
% of consent obtained from Secured Creditors	N.A.	N.A.	N.A.
Total value of creditors who gave consent to the Scheme	N.A.	N.A.	N.A.
	UNSECURED CREDITORS		
Total No. of Unsecured Creditors	1	4 [5 out of which 1 Statutory Dues]	1
No. of Unsecured Creditors, who is a Company / Firm / any association of person/ Bank/ Individual	1	1	1
Total Unsecured Credit Value	13,396.86/-	34,01,781.12/- [Total 35,52,951.12/- out of which 1,51,170/- are Statutory Dues]	1,05,990.00/-

Details of Certificate of Auditor, certifying No. of Unsecured Creditors and Total Unsecured Credit Value.	Date: 31.01.2025 Pg. No.:	Date: 31.01.2025 Pg. No.:	Date: 31.01.2025 Pg. No.:
No. of Unsecured Creditors who Gave consent to the Scheme by way of Affidavit.	1	4	1
% of consent obtained from Unsecured Creditors	100%	100%	100%
Total value of Unsecured creditors who gave consent to the Scheme	13,396.86/-	34,01,781.12/-	1,05,990.00/-

ix. The **Applicant Company No. 1** has 1 (one) Unsecured creditors as on 30.09.2024. All the Unsecured Creditor of the Applicant Company No.1 representing 100% in value have given their consent in writing in the form of an affidavit to the proposed Scheme of Amalgamation. Since more than 90% in value of the Unsecured Creditors of the Applicant Company No.1 have given their consent to the scheme therefore, the requirement of convening the meeting of unsecured creditors of Applicant Company No. 1 is dispensed with.

x. The **Applicant Company No. 1** has nil secured creditors. From perusal of the material on record it is noticeable that there are no secured creditor in any of the Applicant Company No.1, therefore,

the need to convene their meeting does not arise in the present application.

xi. The **Applicant Company No. 1** has 2 (two) equity shareholders as 30.09.2024. The consent letters of all the Equity Shareholders of Applicant Company No. 1 along with affidavit(s) are filed along with the application.

On perusal of the records it is clear that all the Equity shareholders of the Applicant Company No.1 have given the consent/ NOC to the Scheme on their respective affidavit. Therefore, the requirement of convening the Meetings of Equity Shareholders in respect of the Applicant Company No.1 is dispensed with.

xii. The **Applicant Company No. 2** has 4 (Four) Unsecured creditors as on 30.09.2024. All the Unsecured Creditor of the Applicant Company No.2 representing 100% in value have given their consent in writing in the form of an affidavit to the proposed Scheme of Amalgamation. Since more than 90% in value of the Unsecured Creditors of the Applicant Company No. 2 have given their consent to the scheme therefore, the requirement of convening the meeting of unsecured creditors of Applicant Company No. 2 is dispensed with.

xiii. The **Applicant Company No. 2** has nil secured creditors. From perusal of the material on record it is noticeable that there are no secured creditor in any of the Applicant Company No.2, therefore, the need to convene their meeting does not arise in the present application

xiv. The **Applicant Company No. 2** has 4 (Four) equity shareholders as on 30.09.2024. The consent letters of all the Equity Shareholders of Applicant Company No. 2 along with affidavit(s) are filed along with the application. The Applicant Company No. 2 has 1 (One) preference shareholders as on 30.09.2024. The consent letter of the one Preference Shareholder of Applicant Company No. 2 along with affidavit is filed along with the application. On perusal of the records

it is clear that all the Equity shareholders as well as all the preference shareholders of the Applicant Company No.2 have given the consent/ NOC to the Scheme on their respective affidavit. Therefore, the requirement of convening the Meetings of Equity Shareholders and preference shareholder in respect of the Applicant Company No.2 is dispensed with.

xv. The **Applicant Company No. 3** has 1 (One) Unsecured creditor as on 30.09.2024. All the Unsecured Creditor of the Applicant Company No. 3 representing 100% in value have given their consent in writing in the form of an affidavit to the proposed Scheme of Amalgamation. Since more than 90% in value of the Unsecured Creditors of the Applicant Company No. 3 have given their consent to the scheme therefore, the requirement of convening the meeting of unsecured creditors of Applicant Company No. 3 is dispensed with.

xvi. The **Applicant Company No. 3** has nil secured creditors. From perusal of the material on record it is noticeable that there are no secured creditor in any of the Applicant Company No.3, therefore, the need to convene their meeting does not arise in the present application.

xvii. The **Applicant Company No.3** has 2 (Two) equity shareholders as on 30.09.2024. The consent letters of all the Equity Shareholders of Applicant Company No. 3 along with affidavit(s) are filed along with the application. On perusal of the records it is clear that all the Equity shareholders of the Applicant Company No.3 have given the consent/ NOC to the Scheme on their respective affidavit. Therefore, the requirement of convening the Meetings of Equity Shareholders in respect of the Applicant Company No.3 is dispensed with.

8. In the light of above analysis, submissions made by Ld. Counsel and perusal of the material on record, we allow the following prayers:

a) *"Pass an order for dispensation of calling, convening,*

holding and conducting the meetings of Shareholders of Transferor Company and Transferee Company in view of granting of no objections on the proposed scheme by respective Shareholders.

b) *Pass an order for dispensation of calling, convening, holding and conducting the meetings of Secured Creditors of Transferor Company and Transferee Company in view of granting of no objections on the proposed scheme by respective Secured Creditors.*

c) *Pass an order for dispensation of calling, convening, holding and conducting the meetings of Unsecured Creditors of Transferor Company and Transferee Company in view of granting of no objections on the proposed scheme by respective Unsecured Creditors.*

d) *Pass an order to dispense with requirement of issue and publication of notices of the respective meetings of Shareholders, Secured Creditors and Unsecured Creditors in the newspapers.*

e) *Pass such other orders as this Hon'ble Tribunal may deem fit in the facts and proper in the facts and circumstances of the case."*

9. The prayer sought in the present application bearing CA.CAA-36(ND)/2025 stands **allowed** on the aforesaid term and is accordingly **disposed of**.

10. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicant Companies.

11. Let copy of the order be served to all the parties.

-Sd/-
(SANJEEV RANJAN)
MEMBER (TECHNICAL)

-Sd/-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)